



PRESENTS

PRODUCT TEARDOWN

TEAM PRODUCT SAVIOURS



RUDRA BALDANIYA
BIT MESRA



VARUN SINGHAL
BIT MESRA



JONES G
BIT MESRA

CONTEXT

DIAGNOSIS

ECONOMICS

OPERATIONS

IMPROVEMENTS

OVERVIEW



CONTEXT:

Zomato operates as a three-sided marketplace that converts everyday hunger into a coordinated system of demand aggregation, kitchen utilization, and rider logistics as efficiently as possible.

WHERE ZOMATO STANDS TODAY:

Zomato is now in an **optimization phase**, where the goal is not only to add new features, but to make the existing system sustainable, reliable, and economically stable at scale.

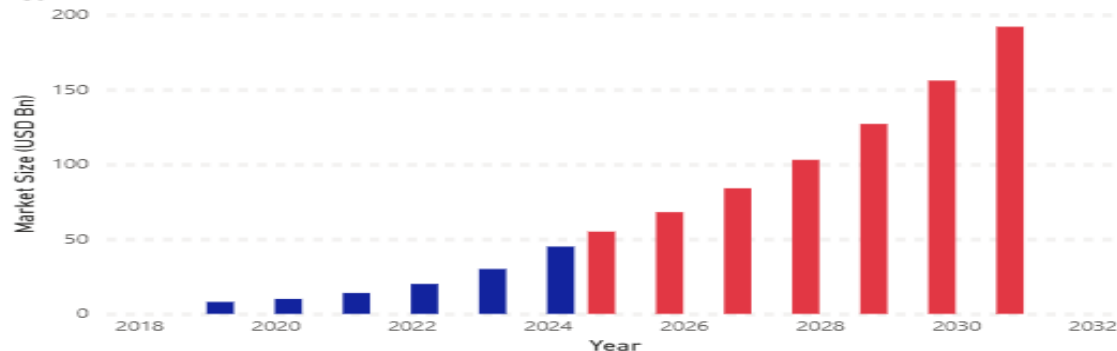
MARKET SIZE 2024: **\$45.15 Bn**

FORECAST 2031: **\$192.31 Bn**

CAGR: **23.1%**

> India Online Food Delivery Market Growth (CAGR Trend)

Type ● Forecast ● Past



CHALLENGES FACED CURRENTLY:



Gig Worker Protests and Strikes

Delivery partners for Zomato and Blinkit participated in nationwide strikes, including on New Year's Eve, protesting low pay, weak job security, and safety concerns in India's gig economy.



Leadership Transition Amid Challenges

The company underwent a senior leadership change with Albinder Dhindsa taking over as Group CEO, signaling strategic shifts that have drawn attention in the context of operational and workforce challenges.



Hygiene and Food Safety Incidents

A customer in Noida found a plastic glove inside a sandwich ordered via Zomato, raising questions around food safety and quality control in partner restaurants.

Zomato is no longer solving discovery or logistics reliability; it is now optimizing for unit economics, retention, and operational stability at scale.

TARGET USERS & SEGMENTS

Aakash: The Convenience-Seeking Student

Age:19 | Residence: Hostel | Routine: irregular meals | Frequency :4-6/week

FRUSTRATIONS

- Delivery fees feel high
- Too many choices → decision fatigue
- Waits for coupons
- Same restaurant, inconsistent quality



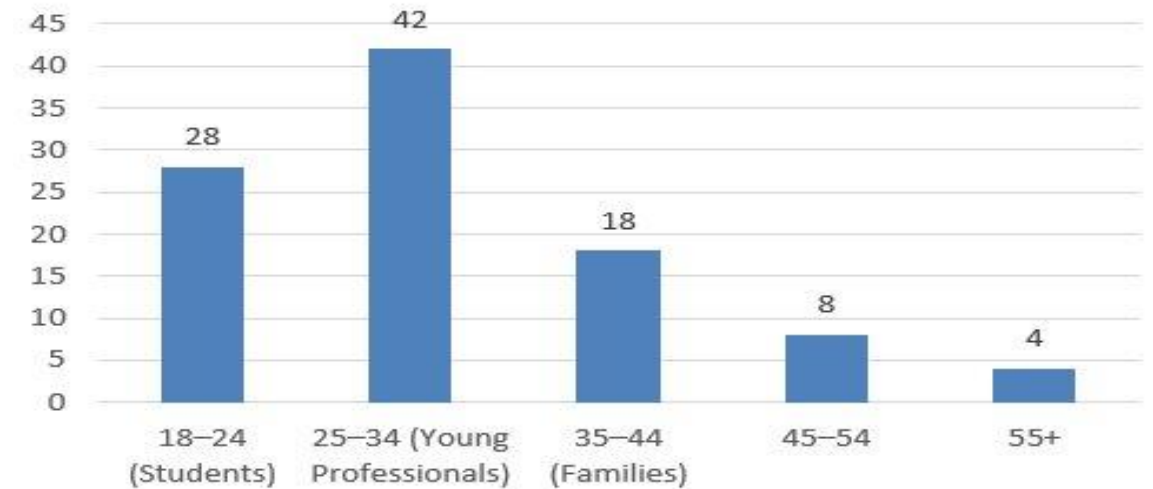
GOALS

- Eat quickly without cooking
- Spend as little as possible
- Decide fast without overthinking
- Reliable late-night delivery

Student Ordering Priorities (Relative Importance)



Zomato User Distribution by Age Group



- ~70% of users fall in 18-34 age group → Zomato is primarily a young urban user platform
- Young professionals (25-34) form the **largest user base** → time scarcity drives ordering behavior
- Students (18-24) are the **second largest segment** → price sensitivity explains coupon-heavy design
- Usage drops sharply after 35+ → families prefer home-cooked food, lower frequency ordering
- Very low adoption in 45+ and 55+ groups → Zomato's UX and value proposition are tuned for youth convenience, not older demographics

CONTEXT

DIAGNOSIS

ECONOMICS

OPERATIONS

IMPROVEMENTS

USER PERSONIFIED



The Zomato User Journey: From Hunger Trigger to Habit Loop

PHASE 1: The Hunger & Convenience Trigger



The journey begins when a user is too tired to cook, specifically during high-focus activities like late-night studying.

PHASE 1: Navigating Discovery Overload



Users often experience "decision fatigue" while scrolling through an abundance of restaurant options, leading to confusion.

PHASE 2: Addressing Price Sensitivity



Before checking out, users actively hunt for coupons on the cart page to lower the perceived cost.

PHASE 2: Conversion Through Savings



Applying the "best" coupon provides the necessary price justification that allows the user to move from hesitation to a completed order.

PHASE 3: Live Tracking Builds Trust



Watching the rider's progress on a live map alleviates "tracking anxiety" and strengthens user confidence in the service.

PHASE 3: Closing the Habit Loop



A positive end-to-end experience encourages the user to hit the "Reorder" button for future needs, turning a one-time order into a recurring habit.

CORE PROBLEM



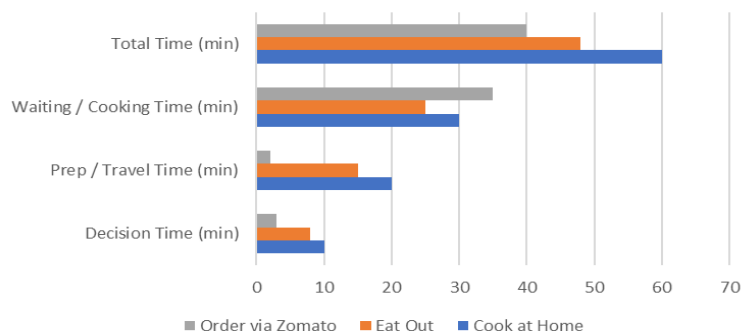
The Hidden Time Cost of Eating

For urban users, accessing a single meal carries a hidden 30–45 minute time tax driven by decision-making, preparation, travel, and waiting.

Why This Matters:

Reducing food access time increases order frequency, not just satisfaction.

Effective Time Cost per Meal Option



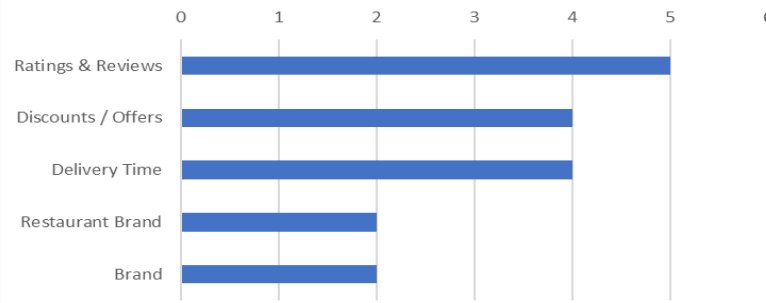
Decision Risk in a Low-Trust Marketplace

Food ordering is a high-risk decision: users pay upfront with no ability to return, and one bad choice ruins the meal.

Why This Matters:

Without trust compression, users drop off or repeat only a few restaurants.

Ratings Matter More Than Brand in Food Ordering Decisions



Price Pain Is Psychological, Not Absolute

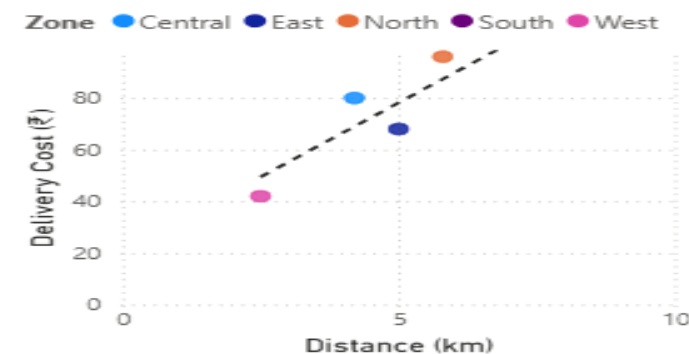
Users react negatively not to high prices, but to unpredictable and opaque final costs, especially delivery fees at checkout.

₹40 delivery feels acceptable; ₹40 + ₹38 fee feels unfair

Why This Matters:

Perceived unfairness reduces repeat usage and increases sensitivity to competitors.

Distance and Delivery Cost as per Zones



Zomato exists to reduce the time, trust and price uncertainty involved in getting a single meal

CONTEXT

DIAGNOSIS

ECONOMICS

OPERATIONS

IMPROVEMENTS

VALUE PROPOSITION

**Students**

(Price-Sensitive, High Frequency)

Value Proposition:

Affordable, predictable access to everyday meals without time or decision friction

How Zomato Delivers Value:

- Discounts and offers reduce perceived meal cost
- Ratings minimize risk of wasted spend
- Gold smooths delivery fee volatility for frequent orders

Young Professionals

(Time-Constrained, Habit-Driven)

Value Proposition:

Fast, reliable meal decisions that minimize cognitive effort and waiting time.

How Zomato Delivers Value:

- Personalized feeds and reorder flows compress decision time
- Dense restaurant coverage improves delivery reliability
- Gold converts frequent orders into predictable monthly spending

Families

(Reliability-Focused, Risk-Averse)

Value Proposition:

Reliable meal fulfillment with reduced quality and delivery risk.

How Zomato Delivers Value:

- Ratings bias toward proven, trusted restaurants
- Delivery tracking reduces anxiety around timing
- Platform accountability replaces restaurant-level uncertainty

Occasional / New Users

(Low Trust, High Skepticism)

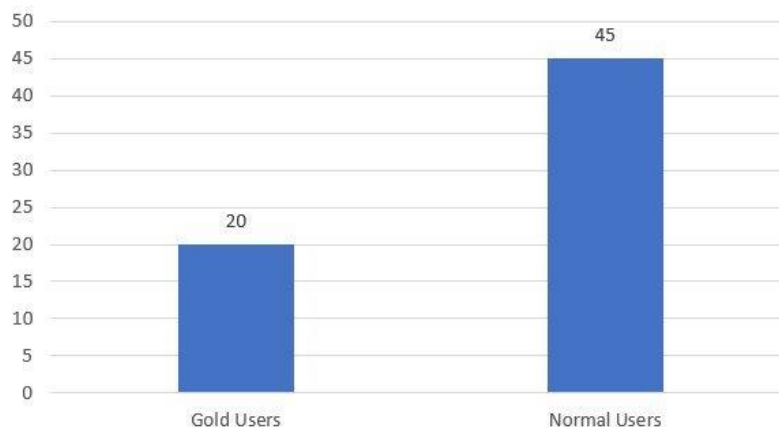
Value Proposition:

Low-risk entry into food delivery through strong social proof and visible safeguards.

How Zomato Delivers Value:

- Reviews, photos, and popularity signals reduce uncertainty
- First-order offers lower trial friction
- Familiar brands act as trust anchors

Avg Delivery Fee (₹)

**Gold Users**

(High Frequency, Value Maximizers)

Value Proposition:

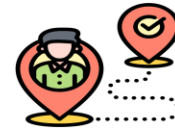
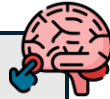
Price stability and mental accounting simplicity for habitual ordering.

How Zomato Delivers Value:

- Reduced delivery fee variance across zones
- Free or discounted deliveries lower checkout friction
- Subscription reframes costs as predictable rather than per-order pain

Zomato creates value by delivering different benefits to different users, while using the same system of discovery, pricing, and logistics underneath.

KEY USER JOURNEY

**1. Trigger**

User demand is activated by hunger, convenience needs, or contextual prompts.

**2. Discover**

The platform surfaces relevant supply based on location, preferences, and intent.

**3. Evaluate**

User compares shortlisted options on trust, value, and speed dimensions

**4. Cart****8. Retain**

Positive outcomes convert first-time users into repeat customers.

**7. Feedback**

User signals satisfaction gaps, enabling corrective action and learning.

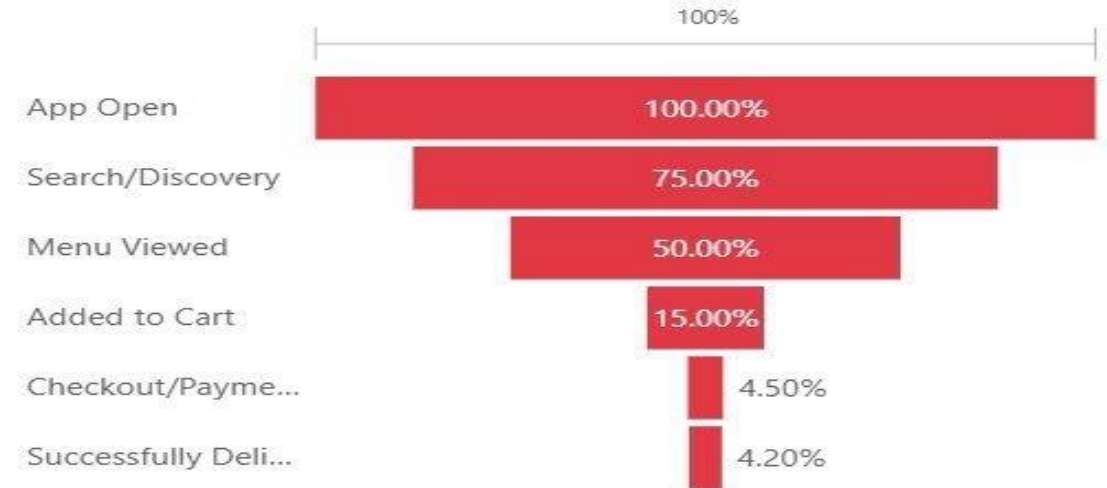
**6. Track & Deliver**

Transparency & Execution quality defines the success of the overall experience.

**5. Pay**

Transaction is completed with minimal friction and high reliability.

Zomato End-to-End Consumer Conversion Funnel: Drop-off Analysis



- The biggest drop occurs **before cart** → users struggle with **decision overload** during discovery and menu browsing
- Only **~15% of users reach cart** → price, options, and trust filters eliminate most sessions early
- Sharp fall from **Cart** → **Checkout** (~15% → ~4.5%) → **fees, taxes, and coupon hunting** create last-mile friction
- Very small drop from **Checkout** → **Successful delivery** → once paid, Zomato's logistics reliability is strong
- This shows Zomato's main challenge is **conversion, not delivery execution**
- Discovery and pricing experience impact orders **more than delivery speed**

Zomato's biggest opportunity lies not in delivering faster, but in helping users decide, trust, and checkout with less friction.

EXPERIENCE



STRENGTHS

- Zomato's experience strength lies in its seamless UX, personalized discovery, reliable delivery, and integrated food ecosystem, driving high customer retention and repeat usage.
- Food delivery, dining reviews, tablebooking, and quick commerce in one app
- Discounts and Zomato Gold benefits improve the value perception for users.
- This encourages frequent usage and higher order frequency.



GAPS

- Zomato's key experience gaps arise from low control over restaurant execution, fluctuating delivery reliability, and perception gaps in pricing transparency and support quality.
- Food quality varies significantly across restaurant partners and across orders.
- Zomato has limited control over consistency, impacting repeat trust.
- Experience gaps primarily arise due to expectation mismatches, third-party dependency, and execution challenges at scale.

CONTEXT

DIAGNOSIS

ECONOMICS

OPERATIONS

IMPROVEMENTS

BUSINESS MODEL

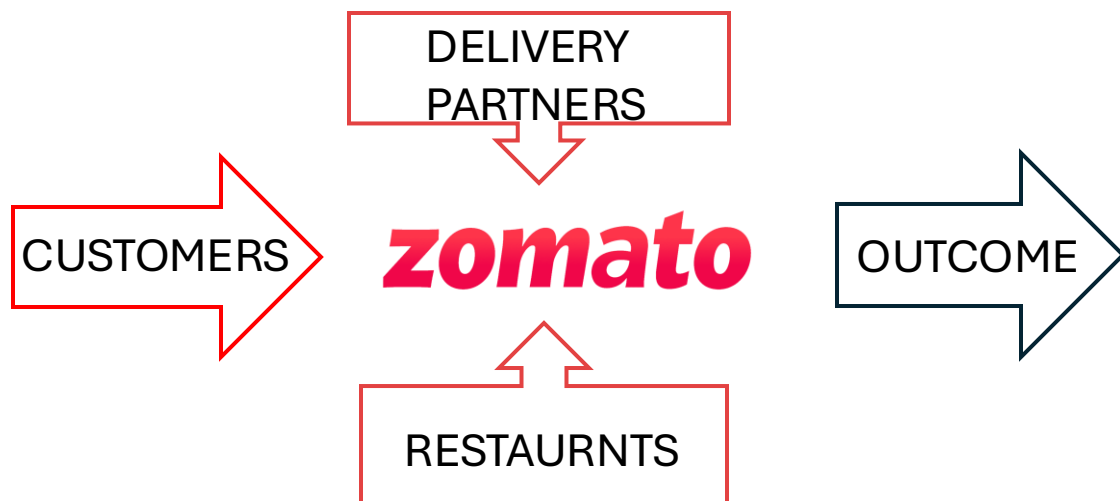


BUSINESS MODEL:

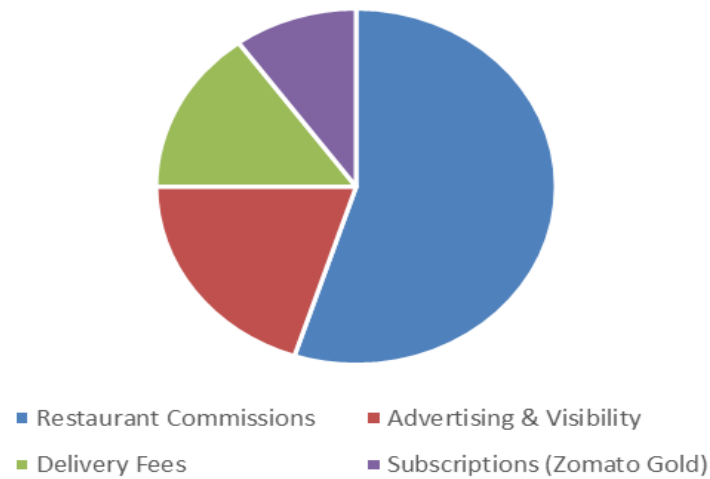
Zomato operates a platform-based marketplace that connects customers, restaurants, and delivery partners. Customers use the app to discover restaurants and order food, restaurants gain visibility and orders, and delivery partners handle last-mile delivery.

REVENUE:

Zomato earns revenue mainly from commissions charged to restaurants on food orders, delivery fees collected from customers, and advertising and promotional fees paid by restaurants. It also generates income through subscription programs like Zomato Gold and quick-commerce services such as Blinkit.



Revenue Share (%)



Zomato monetizes convenience while scaling value for all stakeholders.

PRICING, INCENTIVES, SUBSCRIPTION:

DYNAMIC PRICING MODEL:

1. Customers pay food prices set by restaurants along with delivery fees based on distance, demand, time, and weather conditions.
2. A fixed platform or service fee is added to each order.
3. Surge pricing is applied during peak hours or adverse weather to manage high demand and ensure delivery availability.

INCENTIVES:

1. Percentage discounts on food orders.
2. Festival and event-based promotions.

Objective: increase order frequency, retain users, and activate inactive customers

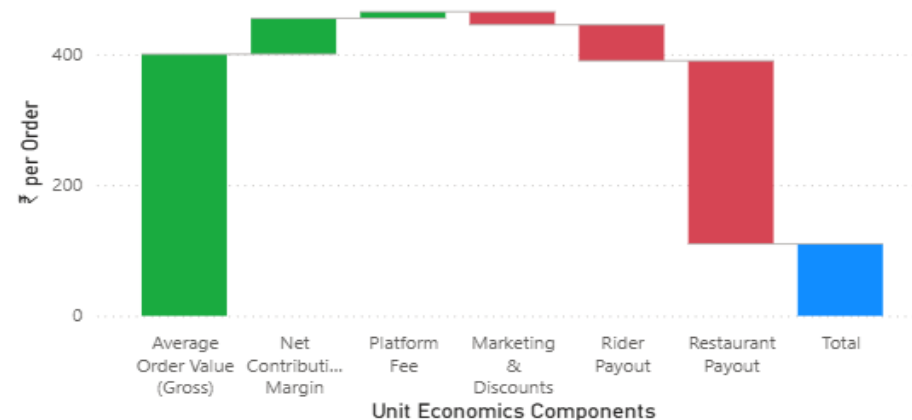
ZOMATO GOLD:

- Zomato Gold is a paid loyalty subscription designed to retain users. It offers benefits such as free delivery on eligible orders, additional discounts on food delivery, and dining discounts at partner restaurants. Subscription pricing is kept low and is often heavily discounted through personalized in-app offers to drive mass adoption.



Order-Level Unit Economics Breakdown

● Increase ● Decrease ● Total



Gold Users Order ~4x More Frequently Than Regular Users



GROWTH & RETENTION



S

- Urban users already trust online food delivery
- High app opens but largedrop-offs before checkout

T

- Convert occasional ordering into **predictable, high-frequency habit** without relying endlessly on discounts.

A

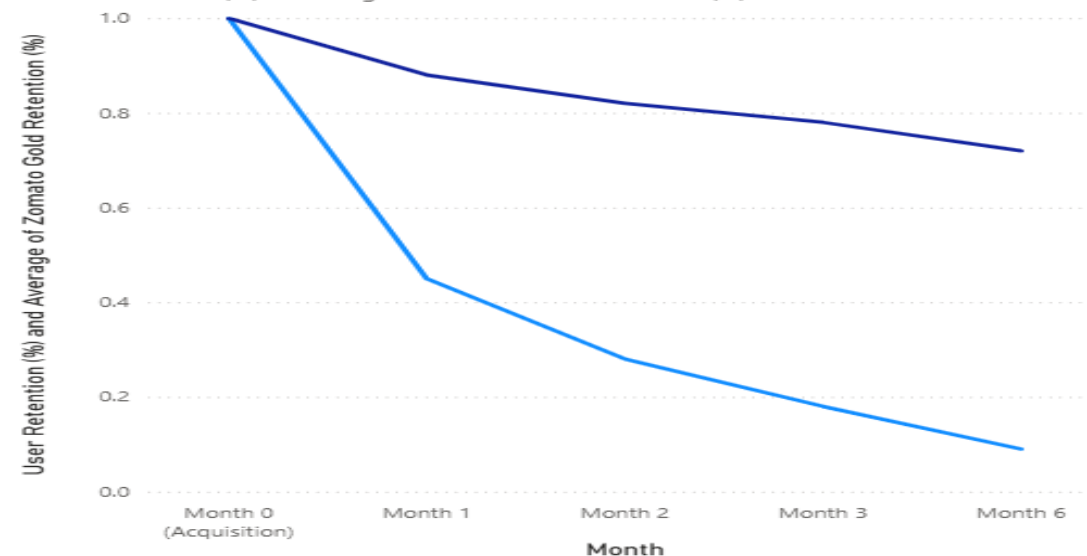
- Coupons & offers
- Live ETA tracking
- Notifications at meal times
- Zomato Gold

R

- Dense rider activity improves ETA → improves experience → improves retention
- Growth comes from **frequency**, not new user acquisition

Gold Users Retain Significantly Better Over Time

● User Retention (%) ● Average of Zomato Gold Retention (%)



GROWTH:

- Zomato's growth engine is not referral-led or content-driven; it is habit-based and frequency-dependent.
 1. Supply Density Expansion
 2. Use-Case Expansion and Targeted Incentives

RETENTION FLOW MECHANISM:

- Gold users retain **significantly higher** over time compared to normal users
- Sharp retention drop for normal users after Month 1 → habit is not yet formed
- Zomato's growth is strongly linked to **subscription-driven retention**, not just new orders

OPERATIONAL & SCALING CHALLENGES



CORE OPERATIONAL REALITY:

Zomato operates a three-sided, real-time logistics marketplace where supply, demand, and delivery capacity must stay balanced at minute-level granularity.

RIDER SUPPLY IMBALANCE:

1. Rider availability fluctuates by time, zone, and weather.
2. Peak demand often coincides with lowest rider willingness
3. Idle return trips in low-density zones increase cost per order

RESTAURANT READLINES & VARIABILITY:

1. Prep time varies widely across restaurants
2. Inconsistent packaging impacts delivery quality
3. Platform SLAs are difficult to enforce uniformly.

GEOGRAPHIC DENSITY CONSTRAINTS:

1. Central zones enable batching and efficiency
2. Peripheral zones create long, single-order trips
3. Same distance $\neq$ same cost across zones

PEAK-HOUR CONGESTION:

1. Lunch and dinner spikes compress delivery windows
2. Traffic unpredictability increases ETA variance
3. Service quality degrades precisely when expectations are highest

CHALLENGES



CONTEXT

DIAGNOSIS

ECONOMICS

OPERATIONS

IMPROVEMENTS

RIDER SENTIMENT HEATMAP

Zomato Rider Pulse

Regulatory Oversight Dashboard

LIVE MONITORING

7

RO

ACTIVE RIDERS

1,247

+12%

AVG WAIT TIME

18.4m

+23%

EARNINGS/KM

₹14.2

-8%

STRESS INDEX

0.64

+15%

ZONE ALERTS

7

+3

SYSTEM HEALTH

94%

stable

AVERAGE WAIT TIME

18.4 min

↑ +23% vs last hour

EARNINGS / FUEL RATIO

1.12 x

↓ -8% vs last hour

INFERRED STRESS LEVEL

64 %

↑ +15% vs last hour

Bangalore Metro

Live Rider Sentiment Map



REGULATOR'S FEED

Live

Zone 4 - Koramangala

2 min ago

Significant spike in order cancellations - potential rider fatigue detected

+47% cancellation rate

Zone 7 - Indiranagar

5 min ago

Critical wait time threshold exceeded at 3 restaurant clusters

Avg 38 min wait

Zone 2 - HSR Layout

12 min ago

Earnings parity dropping below sustainable threshold

₹12/km (below ₹15 target)

TRADE-OFFS & CONSTRAINTS



FRAMING STATEMENTS:

At scale, Zomato optimizes system stability, not individual outcomes.
Every operational improvement introduces a counterbalancing cost.

Key Trade-offs Zomato Must Manage :

SPEED vs COST

1. Faster delivery requires more riders per order.
2. More riders reduce batching efficiency.
3. Higher speed directly increases unit costs.

COVERAGE vs EFFICIENCY

1. Expanding to new zones increases reach
2. Early-stage zones operate at lower density
3. Efficiency improves only after demand matures

DISCOUNTS vs LONG-TERM PROFITABILITY

1. Discounts stimulate demand and reactivation
2. Overuse conditions users to wait for offers
3. Margin recovery becomes difficult

TRANSPERANCY vs CHECKOUT CONVERSION

1. Showing true delivery costs builds trust
2. Price visibility increases abandonment
3. Hiding costs improves conversion but hurts credibility

RIDER WELFARE vs PLATFORM ECONOMICS

1. Higher payouts improve retention and service quality
2. Higher payouts increase per-order costs
3. Competitive rider markets limit pricing power



Problem raised	Improvement proposed
Decision overload in discovery	Prep Reliability + Smart Defaults sorting
Users trust only few restaurants	Restaurant Reliability Score visible in feed
Psychological price pain	Upfront ‘Final Payable’ pricing mode
Cart → checkout drop	Single best coupon auto-applied
Quality inconsistency	Restaurant performance badge (last 30 days)
Rider supply fluctuation	Heatmap-triggered surge + batching logic
Prep-time variability	Prep SLA tracking shown to users
Peripheral inefficiency	Zone-based delivery windows / clubbing
Peak-hour ETA degradation	ETA confidence score
Transparency vs conversion	User-selectable pricing view (simple vs detailed)
Rider welfare vs economics	Dynamic payout linked to zone stress
Discounts harming profitability	Gold-first experience, coupon-second